AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

10x Genomics

2 July 2026 · the qualitative

$39.05

NASDAQ : TXG · Mature-Company DCF

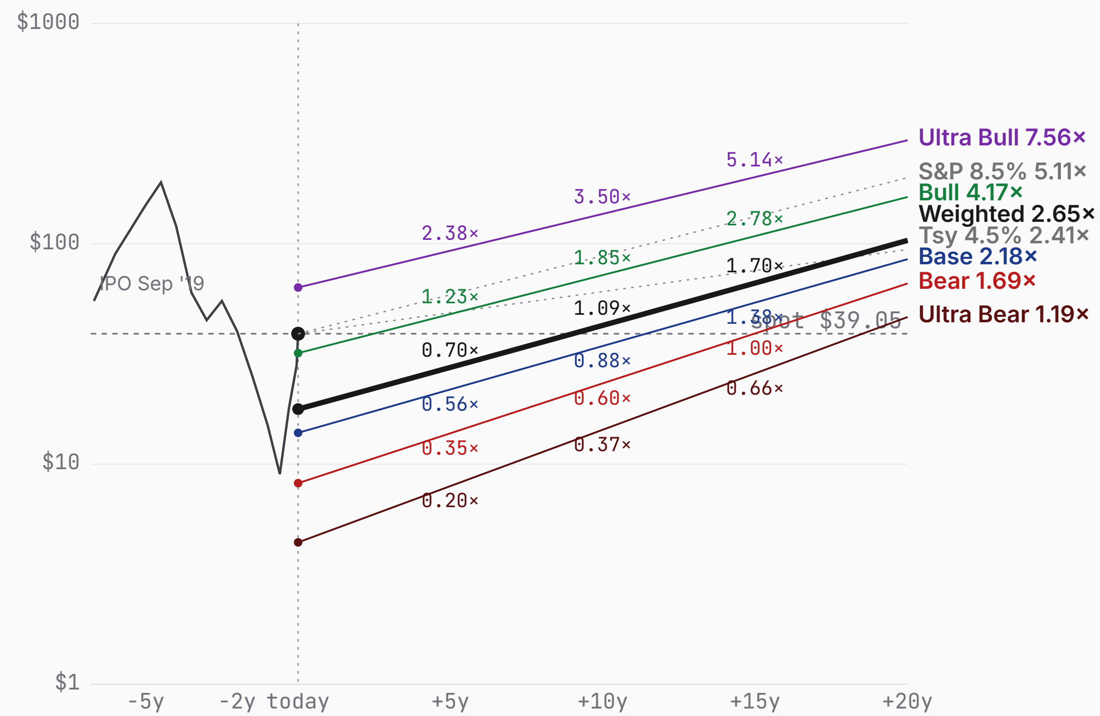
$4.96B mkt cap · 127M sh · $540M cash, zero debt · ~$540M net cash, no debt; ~127M shares (dual-class, founder voting control); Revenue ~$600M, flat-to-declining 3yrs; cash-generative (+$26M op cash Q1'26); ~85% recurring consumables (70% gross margin); NIH-funding exposed

THE CENTRAL QUESTION

Is the market paying a spatial-plus-clinical multiple (~8x EV/sales) for a single-cell core that is flat-to-declining — or correctly pricing a margin inflection and a genuine diagnostics second act?

10x trades at ~$5.0B (≈$39/sh) — ~8x EV/sales on ~$600M revenue flat-to-declining for three years. A dominant tools franchise: >7,900 instruments, ~85% recurring 70%-margin consumables, net-cash and cash-generative after a 17% opex cut. The mature DCF holds the flat core and asks whether the second act the market now pays for — a clinical-diagnostics pivot (CLIA lab targeted early-2027), a multiomic Proteintech expansion, and the Atera spatial launch — becomes a durable reimbursed platform. The finding: even crediting that optionality in the tail, the recent triple prices execution the ~3%-grind base doesn't support — the modal case sits ~55% below spot.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



PROBABILITY-WEIGHTED EXPECTED VALUE

$17.76 expected fair value today

-54.5% vs spot $39.05

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$27.47	$42.62	$66.35	$103.64
0.70× spot	1.09× spot	1.70× spot	2.65× spot

WEIGHTING RATIONALE

Ultra Bear 15% NIH cuts crush demand; revenue declines; ~$5.
Bear 30% Flat revenue, thin margins; dominant ex-growth; ~$8.
Base 30% Slow ~3% grind; margins recover; ~$14 (≈-65%).
Bull 17% Core to ~10% + clinical second act begins; ~$32 (≈-18%).
Ultra Bull 8% Diagnostics platform inflection (~14%); ~$63 (≈+62%).

Bull (17%) + Ultra Bull (8%) together contribute $10.49 — 59% of the $17.76 expected value despite 25% combined probability. Today's spot ($39.05) sits 120% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$4.41	$8.19	$13.86	$31.89	$63.31
-88.7% vs spot	-79.0% vs spot	-64.5% vs spot	-18.3% vs spot	+62.1% vs spot
CAGR -3.6% WACC 12.5%	CAGR -0.4% WACC 11.0%	CAGR +2.6% WACC 9.5%	CAGR +10.1% WACC 8.5%	CAGR +13.7% WACC 8.0%
CAGR -3.6% Prob 15%	CAGR -0.4% Prob 30%	CAGR +2.6% Prob 30%	CAGR +10.1% Prob 17%	CAGR +13.7% Prob 8%
NIH cuts bite; revenue declines.	Stalled; flat revenue, thin margins.	Slow ~3% grind; margins recover.	Spatial plus the clinical second act.	Diagnostics platform inflection.

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LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

10x Genomics scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 30% Base 30% Bull 17% Ultra Bull 8% · Weighted expected $17.76 (-54.5% vs spot)

ULTRA BEAR $4.41

-88.7% vs spot

Probability 15%

NIH cuts bite; revenue declines.

WHY 15%

The NIH funding shock is the dominant risk — ~25% of revenue is NIH-tied, instruments already fell 39%, and the academic market could shrink for years. 15% weight on a sustained decline.

WHAT HAPPENS

The NIH / academic funding shock deepens — the proposed ~40% NIH cut sticks, instrument placements stay frozen, and the single-cell consumables decline accelerates faster than spatial can offset. Revenue falls ~4%/yr toward ~$0.50B by FY30; the franchise shrinks.

Even net-cash and debt-free, a declining-revenue tools business earns a distressed multiple — the DCF lands near $5, ~80% below spot. The recurring consumables annuity erodes with the shrinking installed base.

BEAR $8.19

-79.0% vs spot

Probability 30%

Stalled; flat revenue, thin margins.

WHY 30%

Spatial grows but can't offset single-cell erosion + the NIH drag; revenue stays flat. 30% weight — a very plausible 'dominant but ex-growth' outcome given the 3-year stall.

WHAT HAPPENS

Revenue stays roughly flat — the NIH drag offsets the Xenium spatial ramp, and single-cell erosion continues. 10x holds its dominant position but doesn't grow; margins recover only modestly on cost discipline.

A flat ~$0.6B-revenue franchise at a mid-single-digit FCF margin earns ~$8/share on the DCF — well below spot. 'Dominant, but ex-growth.'

BASE $13.86

-64.5% vs spot

Probability 30%

Slow ~3% grind; margins recover.

WHY 30%

Guidance holds (0-4%), cost discipline converts to FCF, spatial roughly offsets single-cell. 30% as the central, modal outcome — consistent with consensus ~3.8% CAGR.

WHAT HAPPENS

The modal path: FY26 guidance holds (0-4% growth), spatial roughly offsets single-cell decline, and the 17% opex cut plus modest top-line growth converts the 70% gross margin toward a low-teens FCF margin — revenue ~$0.68B by FY30 at ~3% CAGR.

DCF ~$14/share — ~50% below spot. The franchise is real and finally profitable, but a 3%-grower at a low-teens FCF margin doesn't support ~5x EV/sales. The market is paying for a re-acceleration the base case doesn't deliver.

BULL $31.89

-18.3% vs spot

Probability 17%

Spatial plus the clinical second act.

WHY 17%

Requires the core to re-accelerate to ~10% AND the clinical/multiomic second act to begin converting AND operating leverage to land. Each plausible; jointly ~17%.

WHAT HAPPENS

The bull: Xenium spatial and instrument-free chemistry re-accelerate the core to ~10% CAGR, NIH funding stabilizes, and the second act begins to contribute — the early-2027 CLIA diagnostics lab and multiomic (Proteintech) same-sample pull-through layer reimbursed revenue on top of the tools franchise, lifting the FCF margin toward ~23% and revenue to ~$0.97B by FY30.

DCF ~$32/share. The Power gate is a single-cell + spatial installed base with multiomic same-sample lock-in; the falsifier is CLIA reimbursement/coverage failing to materialize, or the Atera Q4 contribution slipping.

ULTRA BULL $63.31

+62.1% vs spot

Probability 8%

Diagnostics platform inflection.

WHY 8%

Tail: the clinical/multiomic second act becomes a durable reimbursed platform at peak margins. ~8% — the platform thesis fully realized, held modest because the pivot is early and unproven.

WHAT HAPPENS

The tail: the clinical-diagnostics and multiomic second act inflects into a durable reimbursed platform on top of the spatial franchise — 10x's installed-base and IP moat compound, and revenue reaches ~14% CAGR (~$1.14B by FY30) at platform margins (~28% FCF).

DCF ~$63/share — well above spot. The genuine 'research tools become a diagnostics platform' outcome; ~8% probability, trimmed from the base and sized modestly given a pivot that is early, unproven, and ~a year out.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

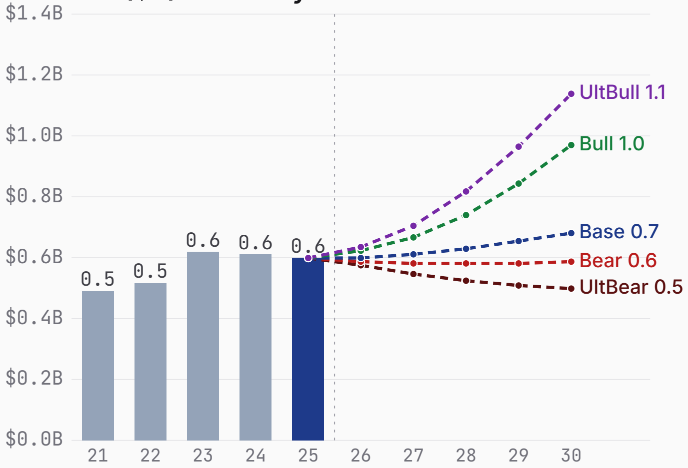
10x Genomics business snapshot

2 July 2026 · the snapshot

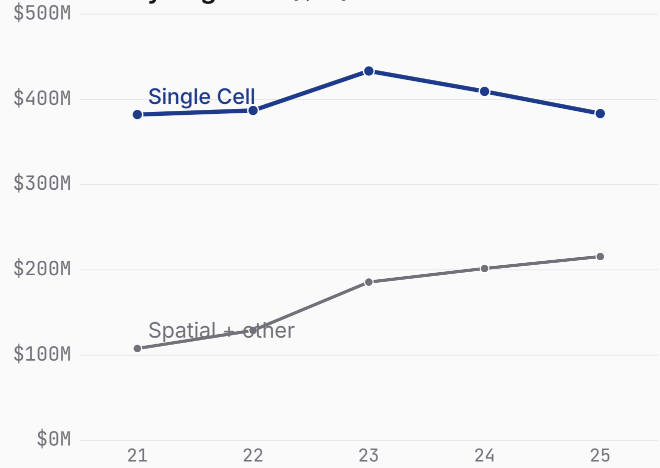
Bear $8.19 Base $13.86 Bull $31.89

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec 31 · Q1 2026 10-Q, FY25 results

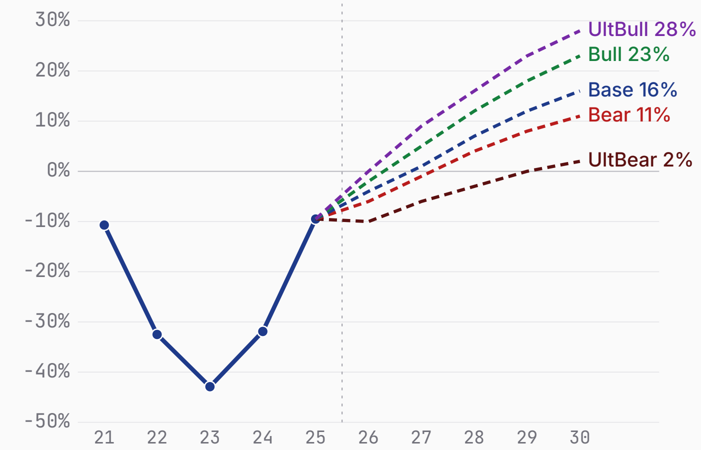
Revenue ($B) — history + scenarios to FY30



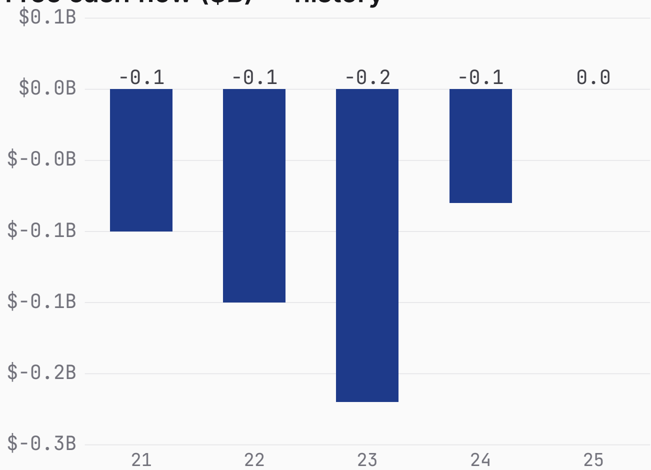
Revenue by segment ($M)



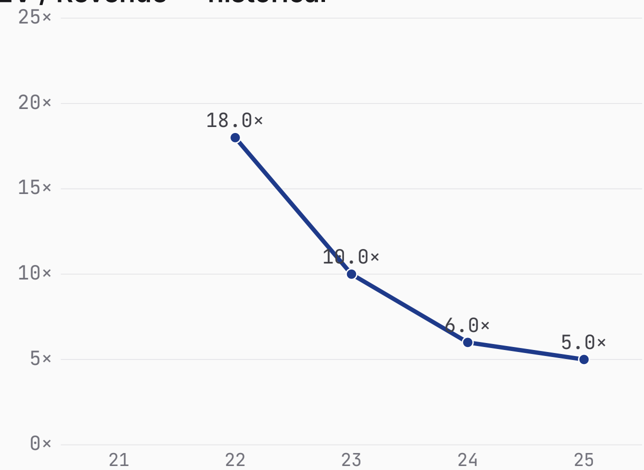
Op margin — history + scenarios



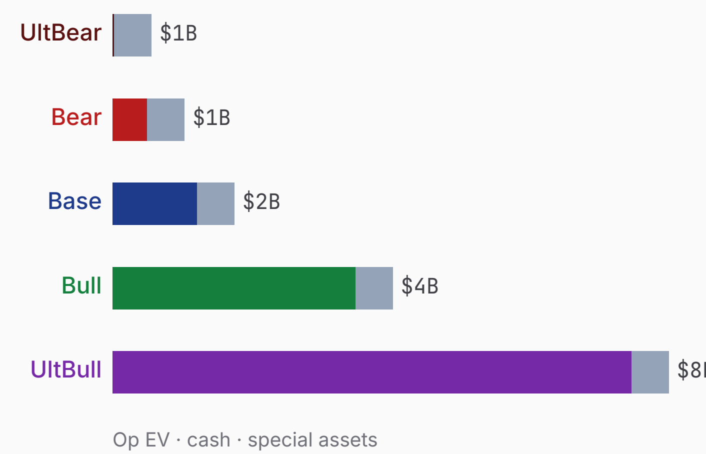
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: 10x Genomics Q1 2026 10-Q (net cash $0.54B), FY2025 results ($599M underlying revenue ex-litigation), segment + installed-base disclosures, patent-settlement filings. Revenue modeled as a growth-rate path off the FY25 base; FCF = revenue x FCF margin (mature framework, no dilution); terminal = Gordon at the scenario WACC. EV/sales context vs mature life-science-tools peers.

10x Genomics 7 Powers · the moat, scored

Bear $8.19 Base $13.86 Bull $31.89

Arena. Single-cell + spatial biology tools — 10x Genomics (Chromium single-cell, Visium/Xenium spatial; ~85% recurring consumables) vs Illumina (sequencing platform, entering spatial), Bruker (CosMx/GeoMx ex-NanoString), Parse (instrument-free single-cell), Standard BioTools; defending a dominant tools franchise as growth stalls.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies · thesis leans here
Razor/blade installed base (>6,400 Chromium + >1,500 spatial instruments) → ~85% recurring high-margin consumables; the strongest, most durable Power.

Network Economies
A published-protocol / citation network is mild; not a hard flywheel.

Counter-Positioning
10x is the incumbent, not counter-positioned; instrument-free entrants (Parse) counter-position against its razor model.

Switching Costs
Entrenched lab workflows, protocols, and data pipelines create real but not insurmountable lock-in.

Branding
The 'gold standard' single-cell brand; strong in academia.

Cornered Resource
Extensive droplet + in-situ patent estate (bankrupted NanoString; forces rivals to license) — durable on existing methods, but doesn't stop combinatorial-barcoding designs-around.

Process Power
Manufacturing + assay learning curve; real but contestable.

PEER SET

Illumina 3% gr · 20% mgn · ~5x sales
Sequencing platform 10x's reads run on; entering spatial; huge balance sheet. 10x is suing it over spatial/single-cell IP.

Bruker 5% gr · 15% mgn · ~3x sales
CosMx/GeoMx (ex-NanoString) spatial imaging; settled & licenses 10x IP (pays $68M + royalties).

Parse Biosciences · private
Instrument-free split-pool single-cell — removes the razor, undercuts Chromium. 10x won an ATAC injunction vs it.

Standard BioTools 0% gr · ~2x sales
Fluidigm + Olink; multiomics-adjacent, consolidating.

THREAT VECTORS · FALSIFIERS

Counter-Positioning · Instrument-free entrants (Parse; 10x's own ScaleBio chemistry)
falsifier: Single-cell consumables decline accelerates beyond -5%/yr as researchers adopt instrument-free workflows.

Scale Economies · NIH / academic funding cuts
falsifier: Instrument placements stay frozen (instruments < -20%/yr) for two more years, shrinking the future consumables annuity.

Cornered Resource · Illumina spatial entry + design-arounds
falsifier: Illumina or a combinatorial-barcoding rival takes material spatial share while 10x's IP suits stall.

COMPETITIVE READ
10x's Scale-Economies Power — a >7,900-instrument installed base throwing off ~85% recurring, 70%-margin consumables — is real and durable, and its IP estate bankrupted NanoString. But the Power is being audited in real time: single-cell consumables are declining, instrument placements are frozen by the NIH funding shock, and instrument-free entrants (Parse — and 10x's own ScaleBio acquisition) attack the razor model the annuity depends on. The market pays ~5x EV/sales for a spatial re-acceleration the base case doesn't yet support; the durability of the consumables annuity through the academic-funding shock is the falsifier the valuation rests on.

10x Genomics show your work

Bear $8.19 Base $13.86 Bull $31.89 · Weighted $17.76 (-54.5%)

ULTRA BEAR $4.41

ASSUMPTIONS

5y revenue CAGR (%)	-3.6
Year-5 op margin (%)	2.0
WACC (%)	12.5
Terminal growth (%)	-1.0
Terminal FCF ($B)	$0.01B
Starting revenue ($B)	0.60
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.58	-10%	-0.02	-0.02
FY27	0.55	-6%	-0.01	-0.01
FY28	0.52	-3%	+0.00	+0.00
FY29	0.51	+0%	+0.01	+0.00
FY30	0.50	+2%	+0.01	+0.01

Σ PV explicit FCF	-0.02
+ PV terminal (g -1.0%)	0.04

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.02B
+ Cash & investments	$0.54B
= Equity value	$0.56B
FY30 shares (M)	127
= Expected per share	**$4.41**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$7.95	$14.32	$25.81	$46.50
0.20×	0.37×	0.66×	1.19×

BEAR $8.19

ASSUMPTIONS

5y revenue CAGR (%)	-0.4
Year-5 op margin (%)	11.0
WACC (%)	11.0
Terminal growth (%)	1.0
Terminal FCF ($B)	$0.07B
Starting revenue ($B)	0.60
Scenario probability (%)	30

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.59	-6%	+0.00	+0.00
FY27	0.58	-1%	+0.02	+0.01
FY28	0.58	+4%	+0.04	+0.03
FY29	0.58	+8%	+0.05	+0.03
FY30	0.59	+11%	+0.07	+0.04

Σ PV explicit FCF	+0.11
+ PV terminal (g 1.0%)	0.39

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.50B
+ Cash & investments	$0.54B
= Equity value	$1.04B
FY30 shares (M)	127
= Expected per share	**$8.19**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$13.80	$23.25	$39.19	$66.03
0.35×	0.60×	1.00×	1.69×

BASE $13.86

ASSUMPTIONS

5y revenue CAGR (%)	+2.6
Year-5 op margin (%)	16.0
WACC (%)	9.5
Terminal growth (%)	2.5
Terminal FCF ($B)	$0.11B
Starting revenue ($B)	0.60
Scenario probability (%)	30

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.60	-4%	+0.01	+0.01
FY27	0.61	+1%	+0.03	+0.03
FY28	0.63	+7%	+0.06	+0.04
FY29	0.65	+12%	+0.09	+0.06
FY30	0.68	+16%	+0.11	+0.07

Σ PV explicit FCF	+0.21
+ PV terminal (g 2.5%)	1.01

EQUITY BUILD · $B & PER SHARE

Operating EV	$1.22B
+ Cash & investments	$0.54B
= Equity value	$1.76B
FY30 shares (M)	127
= Expected per share	**$13.86**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$21.82	$34.35	$54.07	$85.12
0.56×	0.88×	1.38×	2.18×

BULL $31.89

ASSUMPTIONS

5y revenue CAGR (%)	+10.1
Year-5 op margin (%)	23.0
WACC (%)	8.5
Terminal growth (%)	3.3
Terminal FCF ($B)	$0.23B
Starting revenue ($B)	0.60
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.62	-2%	+0.03	+0.02
FY27	0.67	+5%	+0.05	+0.04
FY28	0.74	+12%	+0.11	+0.09
FY29	0.84	+18%	+0.17	+0.12
FY30	0.97	+23%	+0.23	+0.15

Σ PV explicit FCF	+0.43
+ PV terminal (g 3.3%)	3.08

EQUITY BUILD · $B & PER SHARE

Operating EV	$3.51B
+ Cash & investments	$0.54B
= Equity value	$4.05B
FY30 shares (M)	127
= Expected per share	**$31.89**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$47.95	$72.10	$108.42	$163.02
1.23×	1.85×	2.78×	4.17×

ULTRA BULL $63.31

ASSUMPTIONS

5y revenue CAGR (%)	+13.7
Year-5 op margin (%)	28.0
WACC (%)	8.0
Terminal growth (%)	4.0
Terminal FCF ($B)	$0.39B
Starting revenue ($B)	0.60
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.63	+0%	+0.04	+0.04
FY27	0.70	+9%	+0.09	+0.07
FY28	0.82	+16%	+0.16	+0.13
FY29	0.96	+23%	+0.27	+0.20
FY30	1.14	+28%	+0.39	+0.26

Σ PV explicit FCF	+0.69
+ PV terminal (g 4.0%)	6.81

EQUITY BUILD · $B & PER SHARE

Operating EV	$7.50B
+ Cash & investments	$0.54B
= Equity value	$8.04B
FY30 shares (M)	127
= Expected per share	**$63.31**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$93.02	$136.68	$200.83	$295.09
2.38×	3.50×	5.14×	7.56×

10x Genomics People · Opportunity · Context · Deal

Bear $8.19 Base $13.86 Bull $31.89

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Serge Saxonov · founder-led — 14 yrs in seat

8.3% insider ownership

MEDIUM key-person risk

Capital allocation (realized)
Co-founder Serge Saxonov has been CEO since founding 10x in 2012; co-founder Ben Hindson is President & CSO. The balance sheet is a fortress — ~$540M cash and no debt — funding heavy R&D (~$239M) as the business narrows losses toward profitability (FY2025 net loss $43.5M, improving; Q1 2026 operating cash flow turned positive). No dividend or buyback. A defining feature is its patent estate: 10x won its long-running suits (Bio-Rad settled and cross-licensed; the NanoString case ended with acquirer Bruker paying 10x $68M).

Incentive alignment
Saxonov's FY2024 compensation was ~$7.9M (~92% equity). Insider trading is programmatic 10b5-1 selling (partly RSU tax withholding), no open-market buying. The founders are aligned through their super-voting Class B stake rather than economic ownership — insiders hold under ~8% of the economics but the super-voting class carries the large majority of the votes.

GOVERNANCE FLAGS

- dual-class super-voting: Class B = 10 votes per share; the Class B block holds the large majority of voting power while public Class A holds a small minority
- mitigant: Chair and CEO are SEPARATED — an independent Chairman (John Stuelpnagel), not the founder-CEO
- no single majority controller — the founder's individual voting power is a minority; the super-voting is spread across early holders
- classified / staggered board (three classes) — an entrenchment feature
- no time-based dual-class sunset — Class B converts only on transfer or a co-founder's death/disability
- 6 of 8 directors independent; all three standing committees fully independent

THE FOUR LEGS

People — 3 of 5
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the -54.5% finding) + position sizing.

> **PEOPLE READ**
> Better-governed than most dual-class names: an independent Chairman separate from the CEO, fully-independent committees, a net-cash balance sheet, and a patent estate that won its wars. The cap at 3 is structural — the super-voting Class B disenfranchises public holders, and the board is classified with no time-based sunset. But no single person controls a majority (the founders' individual votes are a minority), which is why it sits at the top of the 3 tier. Key-person risk is moderate — two founders in the CEO/CSO seats, but a deep independent board and institutional bench.

10x Genomics supporting analysis · disclaimers · glossary

Bear $8.19 Base $13.86 Bull $31.89

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Razor/blade annuity is the moat.**
~85% of revenue is recurring 70%-gross-margin consumables off a >7,900-instrument installed base — a durable Scale-Economies Power.

2 **Net-cash, self-funding, no dilution.**
~$540M net cash, debt-free, and freshly cash-generative (+$26M op cash Q1'26) — no raise needed; failure risk negligible.

3 **IP estate bankrupted a competitor.**
10x's droplet/in-situ patents bankrupted NanoString and extract royalties from Bruker/Vizgen — a real cornered resource.

4 **Spatial (Xenium) is the growth engine.**
Spatial consumables +19%; Xenium Protein multiomics extends the lead — the re-acceleration optionality.

5 **Cost discipline already executed.**
A 17% opex cut + 8% headcount reduction collapsed the net loss from -$183M to -$44M; the operating leverage is in place if revenue grows.

FALSIFICATION TRIGGERS

Bull validation
total revenue growth re-accelerates >7% · spatial offsets single-cell decline · NIH / instrument placements recover · FCF margin > 15%

Bear validation
single-cell consumables decline accelerates < -5% · instruments stay frozen · NIH cuts bite · revenue flat-to-down through FY27

Reframe needed
if spatial biology inflects into clinical/translational use at scale, re-rate the growth path and terminal multiple toward a secular-platform level

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Forward-looking statements.
Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Chromium / single-cell — 10x's flagship single-cell platform; the legacy core — ~$386M revenue, slowly declining.

Visium / Xenium / spatial — 10x's spatial-biology platforms (in-situ + sequencing-based); the +19% growth engine.

Razor/blade (consumables) — Instruments (the razor) drive recurring consumable-reagent sales (the blade); ~85% of 10x revenue is recurring consumables.

NIH funding shock — ~25% of revenue is NIH-tied; proposed ~40% NIH cuts froze academic instrument purchases (-39% in FY25) — the dominant headwind.

FCF margin — Mature-DCF lever — the free-cash-flow margin the 70% gross margin converts to as revenue and operating leverage build.